IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

I.A. No.608 of 2019 in
C.P. (CAA) No.76/BB/2017
Under Sections 230 to 232 of the Companies Act, 2013
R/w Rule 11 and Rule 154 of the NCLT Rules, 2016

IN THE MATTER OF
SCHEME OF AMALGAMATION
BETWEEN

PUMA INDIA CORPORATE SERVICES PRIVATE LIMITED
(Transferor Company)

AND

PUMA SPORTS INDIA PRIVATE LIMITED
(Transferee Company)

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Date of Order: 03rd January, 2020

Coram: 1. Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)
2. Hon'ble Shri Ashutosh Chandra, Member (Technical)

PUMA SPORTS INDIA PRIVATE LIMITED
Regd. Office. No. 509,
CMH Road, Indira Nagar,
Bengaluru – 560 038. - Applicant /Transferee Company

Parties/Counsels Present:

For the Applicant : Mr. Anind Thomas with Mr. Amogh C.A.

ORDER

Per: Ashutosh Chandra, Member (Technical)

1. This interim application has been filed by Puma Sports India Private Limited (hereinafter referred to as 'Applicant/Transferee Company') under Sections 230-232 of the Companies Act, 2013 read with Rule 11 and Rule 154 of the National Company Law Tribunal Rules, 2016 by inter alia seeking to rectify the

clerical errors in the Order dated 20th March, 2019 where references have been made to (a) an affidavit dated April 10, 2018 supposedly filed by the Transferor and the Applicant; and (b) compounding of the offence for an alleged breach of Section 188 of the Companies Act, 2013 by the Transferor.

2. Brief facts of the Application, which are relevant to the issue in question, are as follows:

(1) The instant Application is filed seeking rectification of clerical errors in the Order dated 20th March, 2019 ('Order') passed by this Tribunal with respect to (a) compounding of the offence for an alleged breach of Section 188 of the Companies Act, 2013 by the Transferor Company (Puma India Corporate Services Private Limited) and (b) a reference which has been made to an affidavit dated April 10, 2018 supposedly filed by both the Applicant and the Transferor Company, in the Order. Further, this Tribunal has passed the said Order sanctioning the Scheme of Amalgamation of the Puma India Corporate Services Private Limited ('Transferor') with the Applicant.

(2) Due to certain administrative reasons, the Applicant was not able to file the said Order with the ROC within the mandated period of 30 days. Thereafter, the Applicant had made an Application seeking condonation of the delay for filing the certified copy of the Order with the ROC. The Tribunal vide its Order dated 31st July, 2019 condoned the said delay in filing the certified copy of the Order.

(3) In page 17 of the Order, it is stated that Applicant and the Transferee is to "*.....ensure compliance of their affidavit dated April 10, 2018....*". It is a matter of record that there is no such affidavit or undertaking provided by the Transferor or the Applicant. Therefore, the Applicant submits that any part of the order referring to and dealing with the said "*Affidavit dated 10th April 2019*" including the compliance certificate referred to in paragraph 12 of the Order is a clerical error and therefore must be corrected.

(4) It is further stated that instead of an acceptance of the Application bearing SRN H85476778 in Form INC – 28, the Company Secretary of the Applicant received a report from the ROC dated September 17, 2019 demanding a resubmission for the Form INC – 28 by October 3, 2019 with a remark, "Sent for resubmission" and "Compounding Application has not been filed as per the Order". The said form was resubmitted on October 3, 2019 along with a letter dated October 1, 2019 requesting for extension of time for resubmission of Form INC – 28. Presently, the form is pending for approval with ROC. However, the Applicant has resubmitted the form within the time specified by ROC, requesting him to grant time to get this clarified by this Tribunal. Presently the form is pending for approval with ROC. Furthermore, the Applicant is precluded from closing the transaction involving the merger of the Transferor with the Applicant due to a clerical error caused in the Order passed by this Tribunal.

(5) It is stated that above mentioned error is a mere clerical error since this Tribunal has categorically recorded in the Order stating that the Transferor has placed the Transfer pricing Documentation for Financial Year 2014-15 and 2015-16 of the Transferor, prepared by E&Y, which clearly indicates that the transactions between the Transferor and the Applicant were 'during the ordinary course of business' and 'at an arm's length basis'.

(6) However, as a mere concluding remark, the Order goes on to state as follows:

> *"15. (11) The Petitioner Companies are directed to compound the offence under Section 188 of the Companies Act, 2013".*

(7) It is stated that on one hand, the Order records that the Transferor has submitted the Indian Transfer Pricing Documentation for FYs 2014-15 and 2015-16 of the Transferor, prepared by E&Y, Chartered Accountants, where it has clearly been explained as to how the

transactions between the Transferor and the Applicant were on arms' length basis and that they are not prejudicial to the interests of the Transferor. On the other hand, the Order in para 14 and 15 (11), issue a direction for the 'Petitioner Companies' to compound the offence under Section 188 of the Companies Act, 2013. The Applicant therefore prays that this clerical error be rectified.

(8) It is also stated that BPU & Co., Chartered Accountants for the Applicant, have issued a Certificate dated July 9, 2019, stating that they have examined the Transfer Pricing Documentation for the FYs 2014-15 and 2015-16 for the Applicant, wherein they have affirmed that the transactions between Transferor and the Applicant were at an arm's length basis and therefore, in compliance with the provisions U/s 188 of the Companies Act, 2013.

3. Heard Mr. Anind Thomas along with Mr. Amogh C.A., learned Counsel for the Applicant. We have carefully perused the pleadings of the party and the extant provisions of the Companies Act, 2013 and the Rules made thereunder and the Order in question.

4. We have gone through the Order passed by this Tribunal dated 20th March, 2019 and found that the errors pointed out by the Applicant in the present Petition seeking rectification, are mistakes apparent from the record and inadvertent in nature. We are, therefore, inclined to allow the instant Application for modification of the said Order to that extent.

5. In the result, I.A. No.608 of 2019 in C.P. (CAA) No.76/BB/2017 is allowed by modifying the Order dated 20th March, 2019, as under:

a) In Paragraph 15 (11):

The words *"The Petitioner Companies are directed to compound the offence under S.188 of the Companies Act, 2013."*

Shall be read as:

"*The Petitioner Companies are directed to compound the offence, if any, committed under Section 188 of the Companies Act, 2013."*

b) In Paragraph 15 (12):

The words *"Affidavit dated 10th April, 2018"*

Shall be read as:

"Statement of Objections dated 10th April, 2018"

The remaining Order shall remain unchanged. No order as to costs.

ASHUTOSH CHANDRA
MEMBER, TECHNICAL

RAJESWARA RAO VITTANALA
MEMBER, JUDICIAL

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